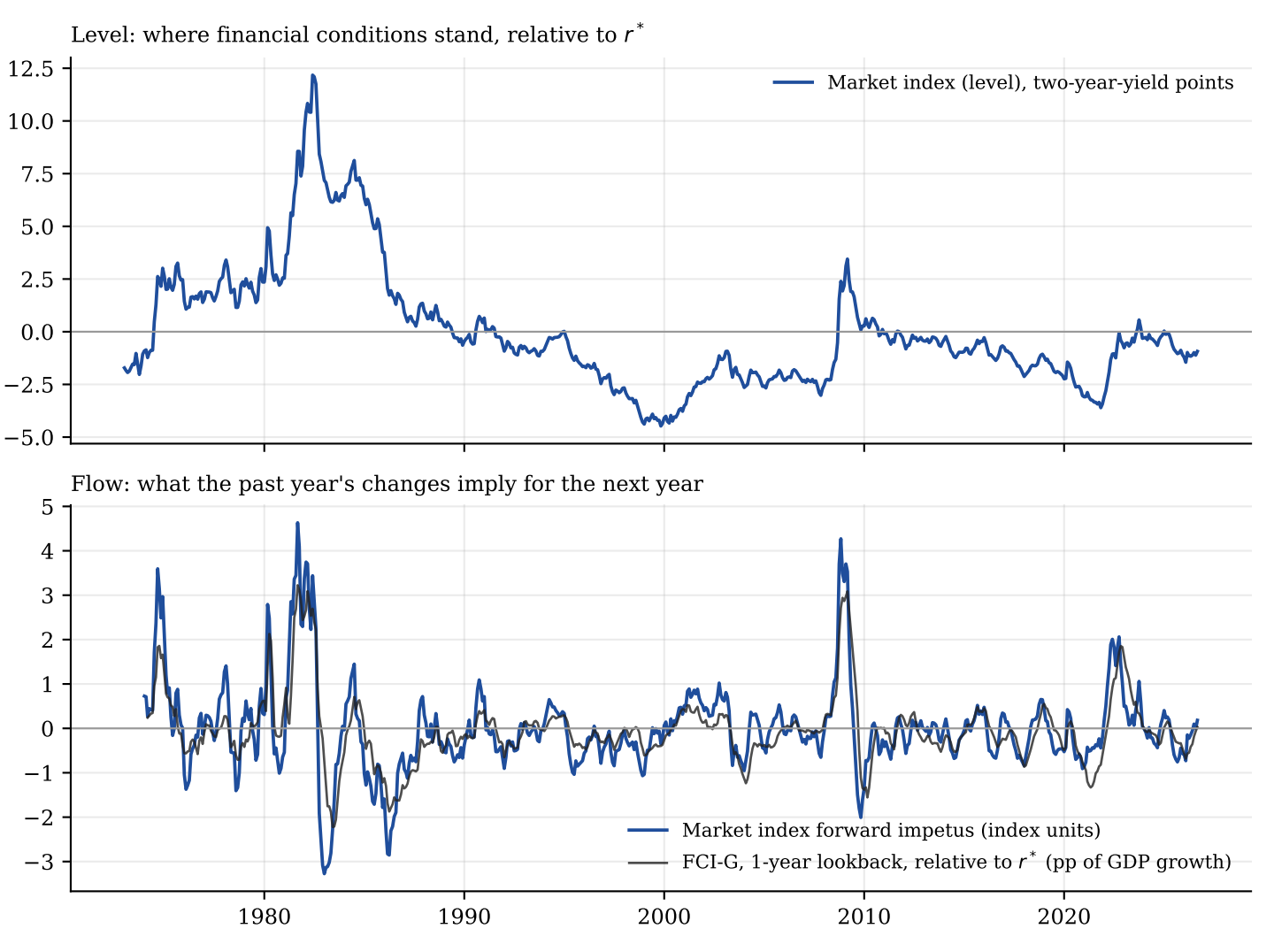
Level: where financial conditions stand, relative to $r^*$
Market index (level), two-year-yield points
12.5
10.0
7.5
5.0
2.5
0.0
−2.5
−5.0
Flow: what the past year's changes imply for the next year
5
4
3
2
1
0
−1
−2
−3
Market index forward impetus (index units)
FCI-G, 1-year lookback, relative to $r^*$ (pp of GDP growth)
1980
1990
2000
2010
2020